COURSE

Cambridge IGCSE Business (0450 / 0264)

Stakeholders and ethics

1 Understanding business activity · 1.5 Business objectives and stakeholder objectives; 6.4 Business and ethical issues (0450: 6.2)

Revision for 1 Understanding business activity: each firm works it out on its own deals.

Class	Topic
Cambridge IGCSE Business (0450 / 0264)	**Stakeholders and ethics**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Closing a branch**	TASK 2 **Who would object**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Rank fair wage cost**	TASK 4 **Fair pay cost**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **Green or cheaper**	TASK 6 **Above-minimum pay**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

You close a loss-making branch. Its 10 staff lose their jobs.

Who gains and who loses?

PICK ONE

- ○ Customers gain, owners lose
- ✔ **Owners gain, staff lose**
- ○ Staff gain, owners lose
- ○ Suppliers gain, staff lose

Why: Cutting a loss raises owners' profit, but the staff lose their income.

Task 2

ROUND 1

You plan to build a bigger showroom on part of a local park.

Which two groups are most likely to object?

PICK TWO

- ✔ **A local environmental group**
- ✔ **Local residents**
- ○ Your car suppliers
- ○ Your sales staff
- ○ Your shareholders

Why: Residents and pressure groups lose the park; the firm's own groups gain.

Task 3

ROUND 2

Three branches move staff to a fairer wage.

Order by extra cost a week, lowest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **15 staff, £20 more each**
2. **10 staff, £40 more each**
3. **6 staff, £80 more each**

Why: £300, £400 and £480 a week: the most staff is the lowest cost.

Task 4

ROUND 2

You raise pay above what rivals pay.

Extra wage cost a year? 52 weeks.

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Staff	**12 staff**
Pay now, each, a week	**£470**
Rise, each, a week	**£35**

METHOD

Extra cost = staff × rise a week × 52

12 × £35 × 52 = £21,840

Why: Fair pay costs more, but staff are more likely to stay.

Task 5

ROUND 3

A green valeting firm costs £300 more a month. Most buyers say the planet matters to them.

Which firm should you use, and why?

PICK A OR B AND GIVE A REASON

- ✔ **The green valeting firm**
- ○ Your current, cheaper firm

Why: Your buyers value it, so the green choice can win sales and goodwill worth more than £300.

Task 6

ROUND 3

You pay staff well above the legal minimum wage, though rivals do not.

Which pair of effects is most likely?

PICK ONE

- ○ Higher wage costs, higher turnover
- ✔ **Higher wage costs, lower turnover**
- ○ Lower wage costs, higher turnover
- ○ Lower wage costs, lower turnover

Why: Fair pay costs more, but staff are more likely to stay.

Final questions

6
questions for each pupil

159
Level 2 Business questions

9
of them on stakeholders and ethics

The game draws 6 questions on this topic.

1 What would make vehicle sourcing more ethical?
Checking suppliers' labour and environmental practices.

2 Customers increasingly ask how a dealership reduces waste and emissions. This is best described as what influence?
An environmental influence on business decisions.

3 Residents object to delivery lorries arriving before 6 a.m. Which stakeholder response is most appropriate to consider?
Discussing quieter delivery times with them.

4 A repair chain claims to use responsibly recycled parts. What action best supports the claim?
Check suppliers' evidence that the claim is true.

5 A campaign group criticises the dealership's disposal of tyres. What is the strongest response?
Check its records, fix problems, share evidence.

6 Longer opening hours would bring more sales but late noise for residents. What is the best approach?
Weigh sales against residents' impact and consult.

7 A cheap supplier cannot show how hazardous waste is handled. What should the CEO consider?
The legal and reputation risks, not just price.

Final questions

8 A stakeholder is anyone affected by a business decision. A dealer plans Sunday opening. One side, named for you: customers gain, visiting on a day off. Name the other side.

Staff lose: they must work a day that was theirs.

9 Before deciding to close the Saturday desk, the CEO lists who is affected: Saturday technicians, Saturday customers and the landlord whose lease sets opening hours. What is this list?

The stakeholders in the decision.